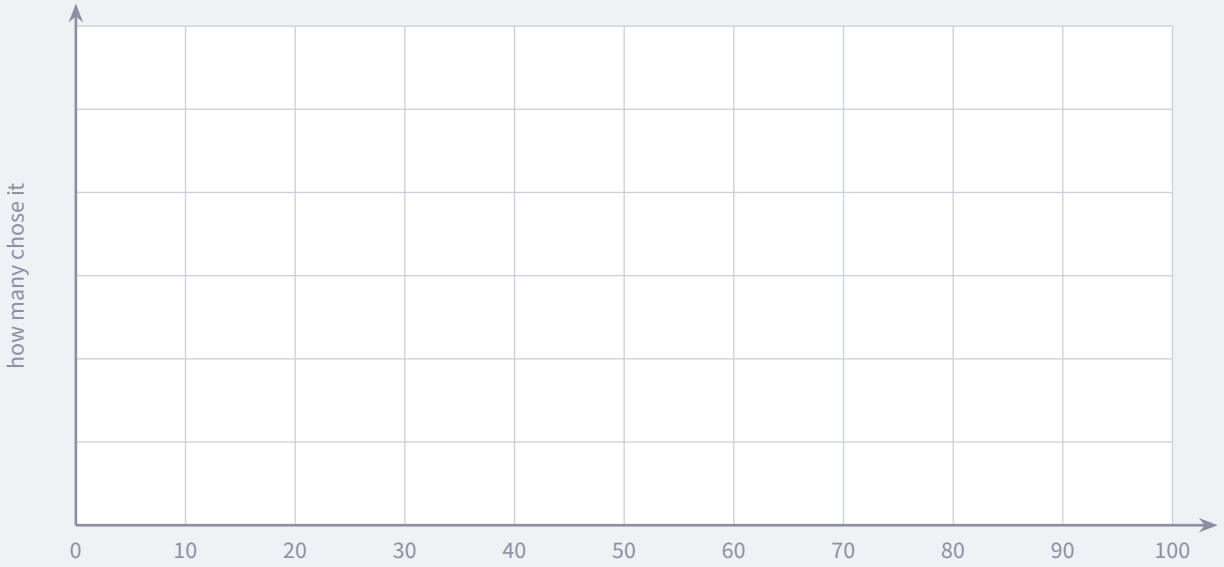
Games

Two thirds of the average, twice



Pick a whole number between 0 and 100. Closest to two thirds of the average wins.



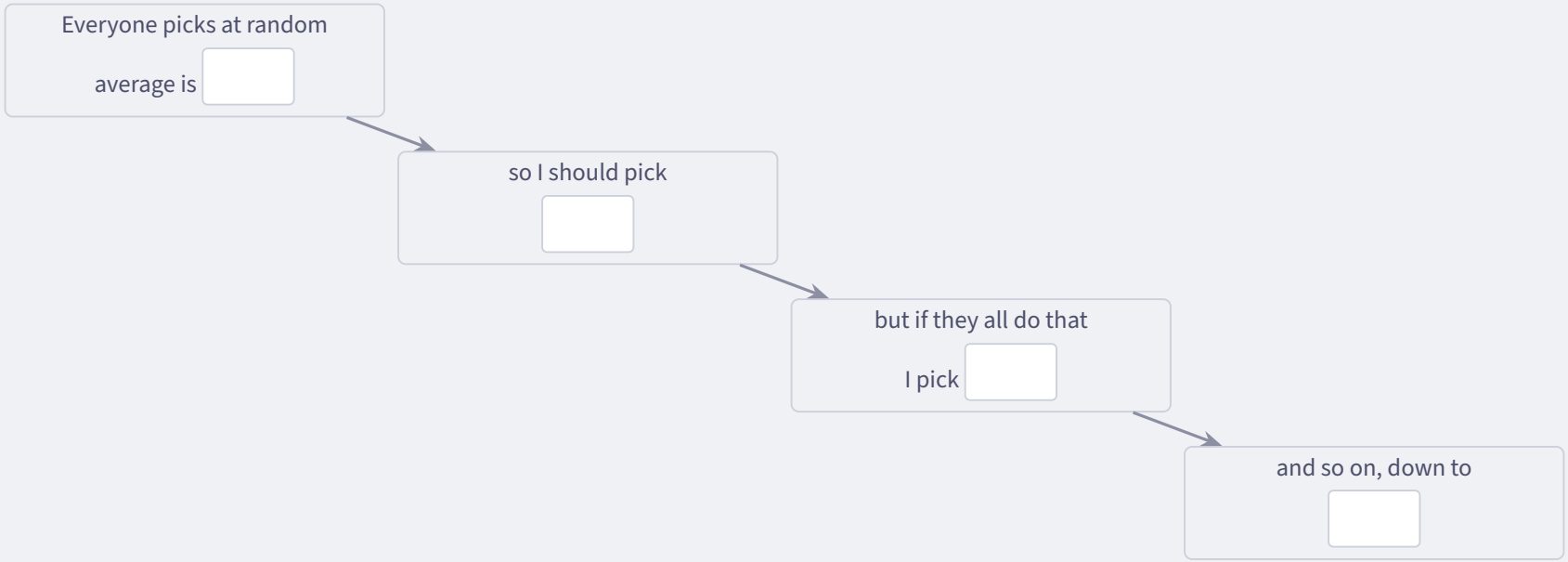
Average

Two thirds of it

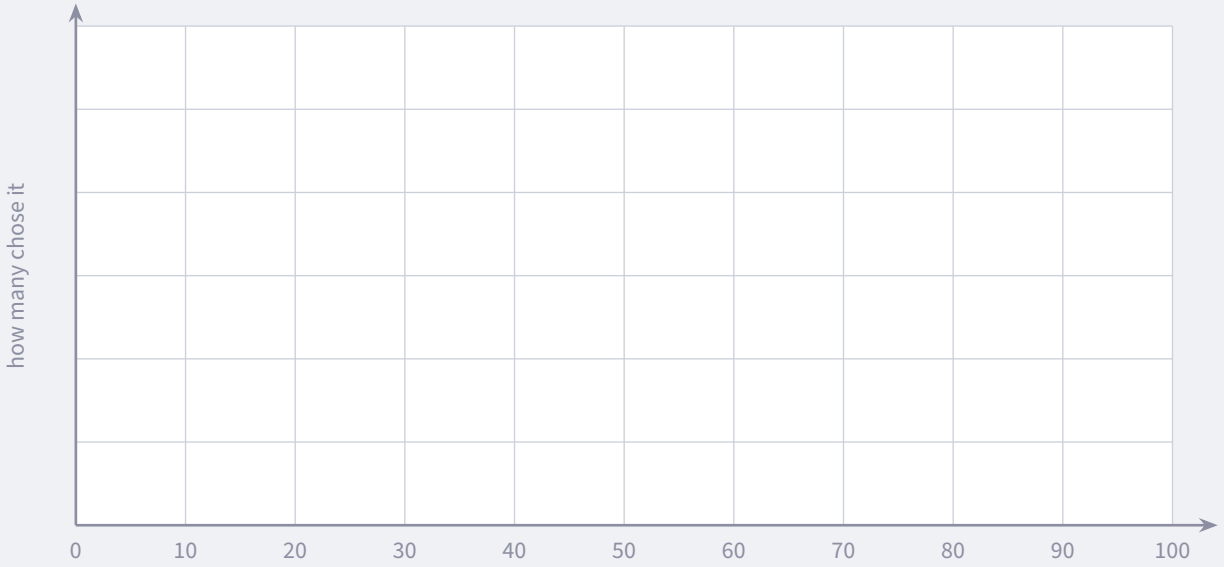
Winner

While you play

Pick a whole number from 0 to 100 and send it in. Whoever is closest to two thirds of the average wins. One number each, no conferring.



How far down the ladder did the room actually go? steps.



Average

Two thirds of it

Winner

While you play

Same again: one whole number from 0 to 100, closest to two thirds of the average wins. You have seen where the room landed last time.

Normal form

Everyone chooses _____, and a payoff follows.

Extensive form

Players move _____, and can see what has happened.

Our game is _____, because _____.

In the game we just played, a strategy is _____.

Now change the rules: you pick *after* hearing what the person before you picked. Draw a couple of levels of that game.

In *that* game, a strategy has to say .

This material is not examined on its own. Normal form, extensive form, strategies and best responses are examined together with **Nash Equilibrium**, so the natural follow-up is **Question 1** on that page.

The habit worth building now: whenever we play something, ask what the players, the actions and the payoffs are, and write them down before doing any algebra.

vknight.org/gt/topics/nash-equilibrium.html

Every stage of today, and the part of the notes it was reading.

What we did	Notes	In the textbook
Climbing down the ladder	**3.2.2**	Rationalisation: Definition: Strictly Dominated Strategy
Simultaneous against sequential	**2.2.1, 2.2.3**	Games: Extensive Form Game, Normal Form Game
Who can see what, and when	**2.2.2**	Games: Definition: Information Set
Writing a strategy down	**2.2.4, 2.2.5**	Games: Strategy in Normal Form Games, in Extensive Form Games

vknight.org/gtb/chapters/games

Quick quiz before you go: vknight.org/gt/topics/nash-equilibrium.html

Before the next class: read the Games chapter as far as strategies, and attempt Question 1 on the Nash Equilibrium page.